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When to Sell And When Not To

There are many good reasons why an investor might decide to sell common stocks. He may want to build a new home or finance his son in a business. Any one of a number of similar reasons can, from the standpoint of happy living, make selling common stocks sensible. This type of selling, however, is personal rather than financial in its motive. As such it is well beyond the scope of this book. These comments are only designed to cover that type of selling that is motivated by a single objective—obtaining the greatest total dollar benefit from the investment dollars available.

I believe there are three reasons, and three reasons only, for the sale of any common stock which has been originally selected according to the investment principles already discussed. The first of these reasons should be obvious to anyone. This is when a mistake has been made in the original purchase and it becomes increasingly clear that the factual background of the particular company is, by a significant margin, less favorable than originally believed. The proper handling of this type of situation is largely a matter of emotional self-control. To some degree it also depends upon the investor's ability to be honest with himself.

Two of the important characteristics of common stock investment are the large profits that can come with proper handling, and the high degree of skill, knowledge, and judgment required for such proper handling. Since the process of obtaining these almost fantastic profits is so complex, it is not surprising that a certain percentage of errors in purchasing are sure to occur. Fortunately the long-range profits from really good common stocks should more than balance the losses from a normal percentage of such mistakes. They should leave a tremendous margin of gain as well. This is particularly true if the mistake is recognized quickly. When this happens, losses, if any, should be far smaller than if the stock bought in error had been held for a long period of time. Even more important, the funds tied up